

demand back and revive the economy. Inflation might also peak out by that time while central banks might get over with the aggressive rate hike cycle. All these factors can lead to FPI flows returning,” he adds.

More importantly, experts believe that domestic institutional investors or DIIs—that include mutual funds, insurance companies, banks and financial institutions—would continue pouring huge amounts of money into stocks, and support the markets like they have been doing for the past several months. “I expect domestic liquidity to be very strong,” says Shankar Sharma of First Global while adding that the worst seems to be over for India. Citing the headroom available, he says that there is an overall return potential of 15 per cent per annum for the Indian market.

THE SAFE BETS

Irrespective of the state of the markets, experts always have a set of sectors that they believe are safe bets from a long-term investment horizon. Rakesh Arora, Managing Partner at Go India Advisors, says that investors should focus on domestic oriented sectors like cement, industri-

IS THE WORST BEHIND US?

“I think the worst is over for India,” says Sharma, though he believes that a worst-case scenario could see a further 10 per cent fall in the benchmarks. While the benchmark Sensex was up nearly 5.3 per cent in the current month till July 27, it has come on the back of three successive months of fall that saw the index drop over 5,500 points, or nearly 9.5 per cent. The Nifty, meanwhile, is currently down over 10 per cent when compared to its record high of 18,604.45 touched in October 2021 but experts believe it is too early to conclude that the market has bottomed out.

Arora believes that the Nifty could bottom out between 14,500 and 15,000, whereas Nomura’s Mukherjee pegs the bottom at around 14,500 by assigning a 16 times multiple to FY24 consensus earnings, and assuming 5 per cent lower-than-projected earnings. IIFL expects the Nifty to trade in the range of 14,800 to 16,800 during the next few months, adding that “it is too early to call it a bottom with a medium-term perspective”.

Kamath is of the view that India is in a “structural long-term bull run,” though the current downswing could easily last a few quarters, and a fall between 5-10

FOR MARKETS, WHILE THERE ARE THE USUAL CONCERNS AROUND FOREIGN OUTFLOWS AND EARNINGS DOWNGRADES, THE BIGGEST HEADWIND IS INFLATION

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als, and banks while staying away from global sectors like metals and IT, among others. “It will be best to stick to large-caps, and debt-free mid-caps,” he says.

For First Global’s Sharma, renewable energy and small-sized FMCG companies are the safe bets, though he believes that large-caps will disappoint. “The main area of focus has to be small-caps. I see Indian small-caps being the best equities in the world,” he adds.

Zerodha’s Kamath advises investors to stay away from growth stocks and IPOs, even as he is bullish on banking. Interestingly, ICICI Prudential Mutual Fund also believes that investors should avoid platform-based businesses and chemical businesses owing to valuations. For Pankaj Pandey, Head of Research at ICICIdirect, the sectors that could do well include banks, automobiles, capital goods & power, and retail & hospitality. BofA Securities prefers a defensive strategy, and is overweight on the energy sector due to high energy prices along with sectors such as staples, healthcare, and utilities.

per cent is possible. “The sentiment around Indian equity markets has deteriorated significantly... It is quite possible for the Indian market to fall further along with weaker global equities,” says Mookim of JPMorgan.

Perhaps nothing sums up the investors’ mood better than the latest edition of the Bank of America Global Fund Manager Survey that was conducted in July. “Dire level of investor pessimism... expectations for global growth and profits are at all-time lows; cash levels are highest since 9/11; equity allocation is at the lowest since Lehman... global growth expectations have slumped to net -79 per cent, an all-time low; and recession anticipation is at the highest since May 2020,” the report states.

Most investors do not like to see the market fall but it appears that there is an unpleasant consensus when it comes to the near-term outlook. In the long term, as Keynes said, all are anyway dead. **BT**

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